

# NHPC — NHPC Ltd

Sector: Energy | Sub-sector: Power & Utilities

NHPC, a Mini Ratna category I public sector utility, is Government of India's flagship hydroelectric generation company. The company is primarily involved in the generation and sale of bulk power to various Power Utilities. Its other business includes providing project management / construction contracts/ consultancy assignment services and trading of power.

| ROE   | ROCE | NPM   | D/E  | FCF (Cr) | Rev CAGR 5Y |
|-------|------|-------|------|----------|-------------|
| 10.4% | 5.1% | 41.8% | 0.84 | 970      | 1.4%        |

## 10-Year Financial Trend

| Year    | Revenue | Profit | ROE  | ROCE | FCF   |
|---------|---------|--------|------|------|-------|
| 2015-03 | 8,221   | 2,798  | 9.1  | 6.7  | 3,293 |
| 2016-03 | 8,354   | 2,365  | 7.5  | 6.5  | 5,225 |
| 2017-03 | 8,623   | 3,480  | 12.0 | 7.1  | 6,465 |
| 2018-03 | 7,755   | 2,785  | 9.3  | 5.7  | 3,810 |
| 2019-03 | 8,983   | 2,836  | 9.2  | 6.7  | 2,642 |
| 2020-03 | 10,008  | 3,345  | 10.7 | 7.0  | 6     |
| 2021-03 | 9,648   | 3,600  | 10.9 | 7.1  | 3,463 |
| 2022-03 | 9,144   | 3,774  | 10.8 | 4.6  | 1,506 |
| 2023-03 | 10,607  | 4,261  | 11.5 | 7.5  | 514   |
| 2024-03 | 9,632   | 4,028  | 10.4 | 5.1  | 970   |

Financial health score: 28.8 | Band: Needs Attention

# Balance Sheet & Cash Flow Intelligence

## Recent Balance Sheet

| Year    | Equity | Debt   | Assets | Liabilities |
|---------|--------|--------|--------|-------------|
| 2021-03 | 33,053 | 23,365 | 73,136 | 73,136      |
| 2022-03 | 34,921 | 26,096 | 77,288 | 77,288      |
| 2023-03 | 36,961 | 29,540 | 86,211 | 86,211      |
| 2024-03 | 38,702 | 32,561 | 93,297 | 93,297      |
| 2024-09 | 40,149 | 34,210 | 97,681 | 97,681      |

## Recent Cash Flow

| Year    | CFO   | CFI    | CFF    | Net Cash |
|---------|-------|--------|--------|----------|
| 2020-03 | 2,993 | -2,987 | 12     | 17       |
| 2021-03 | 5,070 | -1,607 | -3,058 | 405      |
| 2022-03 | 4,590 | -3,084 | -638   | 867      |
| 2023-03 | 4,705 | -4,191 | -795   | -281     |
| 2024-03 | 6,938 | -5,968 | -581   | 388      |

### Capital allocation: Reinvestor / Returns

CFO quality score: 100 | CapEx intensity: 62.0% | FCF conversion: 20.2%

### Pros

Positive free cash flow in the latest available year.; Free cash flow has remained positive for five consecutive years.; Operating cash flow exceeds reported profit, supporting earnings quality.; Interest coverage exceeds 5x.

### Cons

Capital expenditure intensity exceeds 8% of sales.

